Delegation, Attention, and the Boundaries of the Firm

Sample Author

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Abstract

We study a firm whose manager has limited attention and must decide which decisions to delegate. Delegation economizes on attention but exposes the firm to misaligned subordinates. We show that whether one more task is worth keeping does not depend on the manager's attention capacity, so that attention affects delegation only by relaxing a constraint and the number of delegated tasks falls weakly with attention, and we characterize when the firm should integrate or outsource a task.

1 Introduction

Managers cannot attend to everything. A central question in the theory of the firm is which decisions a manager should keep and which she should hand to subordinates [Aghion and Tirole, 1997, Dessein, 2002]. This paper asks how the answer depends on the manager's attention capacity.

We build a simple model in which a manager allocates a fixed stock of attention across tasks. Each task can be decided by the manager herself, at an attention cost, or delegated to a subordinate whose preferences are partially misaligned. Delegation saves attention but loses control. Our main result is that attention determines how many tasks the manager can keep but not the trade-off she faces: whether one more task is worth keeping does not depend on her capacity, so additional attention relaxes a constraint without ever making delegation more attractive, and the number of delegated tasks falls weakly with attention.

The paper contributes to the literature on authority and attention [Garicano, 2000]. Section 2 presents the model. Section 3 derives the main results. Section 4 concludes.

2 Model

A manager faces n tasks indexed by $i \in \{1, \dots, n\}$. Task i has importance $v_i > 0$, ordered so that $v_1 \geq v_2 \geq \cdots \geq v_n$. The manager has attention capacity $A > 0$. Attending to task i costs one unit of attention and yields payoff v_i. Delegating task i costs no attention and yields $(1 - b)v_i$, where $b \in (0, 1)$ measures the subordinate's misalignment.

The manager chooses a set $K \subseteq \{1, \dots, n\}$ of tasks to keep, subject to $|K| \leq A$. Her payoff is

$$\Pi(K) = \sum_{i \in K} v_i + (1 - b) \sum_{i \notin K} v_i. \tag{1}$$

We also allow the manager to spend attention on improving alignment: by devoting $a \geq 0$ units of attention to monitoring, she reduces misalignment to $b(a) = be^{-a}$. The attention constraint becomes $|K| + a \leq A$.

3 Results

3.1 Delegation without monitoring

Proposition 1. *Without monitoring, the manager keeps the* $\min\{n, \lfloor A \rfloor\}$ *most important tasks and delegates the rest.*

The intuition is simple. Keeping task i rather than delegating it gains bv_i, which is increasing in v_i. Attention is therefore spent on the most important tasks first. The proof is in Appendix A.

3.2 Delegation with monitoring

Proposition 2. *With monitoring, whether keeping one more task pays does not depend on attention: the sign of* $\Pi(k+1) - \Pi(k)$ *is the sign of* $v_{k+1} - (e-1)R_{k+1}$*, where* $R_{k+1} = \sum_{i>k+1} v_i$ *is the importance of the tasks that would remain delegated. Attention matters only through the constraint* $k \leq A$*. Consequently, breaking ties toward keeping fewer tasks, the number of kept tasks is weakly increasing in* A*, the number of delegated tasks is weakly decreasing in* A*, and both are constant once* $A \geq n$*.*

Attention has two uses, keeping a task and monitoring the delegated ones, and the comparison between them does not involve A: keeping task $k+1$ recovers its own misalignment loss but removes it from the pool that monitoring improves, and both effects scale with the same factor $e^{-(A-k)}$. Attention therefore only determines how many tasks the manager *can* keep, not which trade-off she faces. As A grows, more values of k become feasible and the best of them can only improve, so delegation never rises with attention. The proof is in Appendix A.

3.3 Implications for firm boundaries

A task that is delegated with high residual misalignment is a candidate for outsourcing. Proposition 2 implies that managerial attention affects which tasks are integrated only by relaxing the constraint on how many can be kept; it never makes integration less attractive.

4 Conclusion

We showed that managerial attention changes the scope of delegation only by relaxing a constraint, never the trade-off behind it. Future work could endogenize the subordinate's misalignment and study how attention is allocated across a hierarchy.

References

Philippe Aghion and Jean Tirole. Formal and real authority in organizations. *Journal of Political Economy*, 105(1):1–29, 1997.

Wouter Dessein. Authority and communication in organizations. *Review of Economic Studies*, 69(4):811–838, 2002.

Luis Garicano. Hierarchies and the organization of knowledge in production. *Journal of Political Economy*, 108(5):874–904, 2000.

A Proofs

Proof of Proposition 1. From (1), $\Pi(K) = (1-b)\sum_i v_i + b\sum_{i\in K} v_i$. The first term does not depend on K, so the manager maximizes $\sum_{i\in K} v_i$ subject to $|K| \le A$. Since the v_i are ordered, the maximizer is the set of the $\min\{n, \lfloor A \rfloor\}$ largest v_i. □

Proof of Proposition 2. Let $k = |K|$ and $R_k = \sum_{i>k} v_i$. Since the manager keeps the most important tasks (by the argument of Proposition 1) and devotes the remaining $A-k$ units to monitoring, her payoff is $\Pi(k) = \sum_i v_i - be^{-(A-k)}R_k$ for $k \le A$. Hence

$$\Pi(k+1) - \Pi(k) = be^{-A}e^k\left[R_k - eR_{k+1}\right] = be^{-A}e^k\left[v_{k+1} - (e-1)R_{k+1}\right],$$

whose sign is that of $v_{k+1} - (e-1)R_{k+1}$ and does not depend on A. Define $G(k) = \sum_{j<k} e^j\left[v_{j+1} - (e-1)R_{j+1}\right]$, so that $\Pi(k) = \Pi(0) + be^{-A}G(k)$ and $k^*(A) = \arg\max_{k\le \min\{n,\lfloor A\rfloor\}} G(k)$, with ties broken toward the smaller k as in the statement. The feasible set $\{0,\dots,\min\{n,\lfloor A\rfloor\}\}$ grows with A and G does not depend on A, so the maximizer over a prefix of a fixed sequence is weakly increasing in the prefix length: $k^*(A)$ is weakly increasing in A, and $n - k^*(A)$ is weakly decreasing. For $A \ge n$ every k is feasible and k^* is constant. □